



Neutral Citation: 2008 ONFSCDRS 170

FSCO A07-000961

BETWEEN:

SANMUGANATHAN ELAIATHAMBY

Applicant

and

**STATE FARM MUTUAL AUTOMOBILE
INSURANCE COMPANY**

Insurer

REASONS FOR DECISION

***Minor error on Page 6 corrected on November 14, 2008 in accordance with the *Dispute Resolution Practice Code* and section 21.1 of the *Statutory Powers Procedure Act*.**

Before: Fred Sampliner

Heard: January 14, 15, 16, 17, 18, 22, 2008 at the Financial Services
Commission of Ontario, followed by written submissions.

Appearances: David S. Wilson for Mr. Elaiathamby
John P. Desjardins for State Farm Mutual Automobile Insurance Company

Issues:

The Applicant, Sanmuganathan Elaiathamby, claims he was injured in a motor vehicle accident on January 15, 2006. State Farm Mutual Automobile Insurance Company ("State Farm") denied he was involved in an accident, and refused to pay his claims for accident benefits under the *Schedule*.¹ After mediation failed, Mr. Elaiathamby applied for arbitration at the Financial Services Commission of Ontario under the *Insurance Act*, R.S.O. 1990, c.I.8, as amended.

¹The *Statutory Accident Benefits Schedule* — Accidents on or after November 1, 1996, Ontario Regulation 403/96, as amended.

The issues in this hearing are:

1. Was Mr. Elaiathamby involved in a motor vehicle accident on January 15, 2006?
2. Is Mr. Elaiathamby entitled to a special award under subsection 282(10) of the *Insurance Act*?

Result:

1. Mr. Elaiathamby was involved in an automobile accident on January 15, 2006.
2. Mr. Elaiathamby is not entitled to a special award.

EVIDENCE AND ANALYSIS:

Mr. Elaiathamby's story is quite simple. He was driving his friend, Mr. Kapileshwar Kathirgamu, home after an evening socializing at his apartment when they were rear-ended by another vehicle at a side-street stop sign near the intersection of McCowan Road and Finch Avenue in Toronto. Both vehicles were towed by separate companies to the nearest Collision Reporting Centre ("CRC"), where the owners filed their accident reports.

Mr. Elaiathamby and his passenger walked towards Finch Avenue, where they hailed a taxi to take them to the CRC. Mr. Elaiathamby attended hospital that evening, and thereafter began treatment for soft tissue injuries. He has not resumed his pre-accident delivery work.²

Mr. Elaiathamby's claims to State Farm for accident benefits drew initial suspicion from the adjuster for many reasons. Both his 1990 Toyota Camry and the 1993 Honda Prelude that struck him were salvage vehicles that had been refurbished, purchased and insured by their owners shortly before the claimed accident. There were no independent witnesses or police at the accident scene to confirm the claimed collision. Both vehicles were towed to the local CRC that was at the heart of an ongoing insurance investigation for reportedly staged accidents.

²The parties filed an agreement at the commencement of the hearing wherein State Farm agreed to pay Mr. Elaiathamby various benefits if it is determined there was an accident, pursuant to the *Schedule*.

State Farm thought it was suspicious that the drivers and their passengers claiming involvement in the accident, were all from the same ethnic background. Mr. Elaiathamby and his passenger filed claims for accident benefits, and he had three other accident claims in his eleven year insurance history. Based on this limited evidence, I find that Mr. Elaiathamby's insurance history is not suspicious, and does not demonstrate he has been involved in repetitive insurance claims.

State Farm has no evidence that Mr. Elaiathamby, the tow drivers or any other vehicle occupant has ever been engaged in fraudulent activities or staged accidents, and the police did not lay criminal charges against anyone arising from this incident. As a result, I find that Mr. Elaiathamby and his passenger have not been engaged in past or current criminal conduct.

State Farm argues that in addition to his repetitive accident history, Mr. Elaiathamby's taking property damage coverage on this older vehicle indicates he was planning this accident. Mr. Elaiathamby testified he needed the Camry to drive to work because his old car had broken down. He accepted State Farm's quote for full coverage on the broker's recommendation and, according to Mr. Elaiathamby, the offer was more reasonably priced than other comparable policies. I have no reason to question the logic of Mr. Elaiathamby's straightforward answer, and accept it.

State Farm likewise argues that Mr. Elaiathamby made material misrepresentations about this accident, in violation of section 48 of the *Schedule*. Mr. Elaiathamby initially reported to the CRC that the accident occurred at 8:15 p.m., while the other driver stated it happened at 9:00 p.m.

State Farm likewise found it suspicious that Mr. Elaiathamby incorrectly reported his travel direction and the name of the street he was on when the accident occurred. At the CRC, he indicated driving north on Lumsfield Crescent. Whereas, it is not disputed he was stopped at the Lumsfield Crescent intersection, travelling on the crossing with Sandhurst Circle.

Mr. Elaiathamby admitted erring about his travel direction and street name on the accident report. Likewise, he was unsure estimating the time of the accident and exactly when the cars and people arrived at the CRC. There is no evidence that either establishes or allows me to infer

Mr. Elaiathamby intended to deceive State Farm, but I accept his time and place errors as reasonable cause for further investigation of this accident.

I am not persuaded the errors constitute material misrepresentations. Mr. Elaiathamby correctly listed the intersection street names, but put his car on the wrong cross street. Concerning the accident time, there is a reliable record of the series of Mr. Elaiathamby's cell phone calls to arrange towing his car from the accident scene, originating between 8:30 to 9:00 p.m. that evening.

The independent phone call record establishes that Mr. Elaiathamby did not misrepresent the time of the accident, and the wrong cross street is not, in my view, a material representation where the intersection is correct. I reject State Farm's position that Mr. Elaiathamby made material misrepresentations of fact to State Farm concerning the time and place of the accident.

Otherwise, Mr. Elaiathamby's evidence about the accident and its aftermath is generally consistent with the evidence his passenger gave at the hearing and is supported by other reliable documentary evidence. There are receipted payments to tow both cars. There is a written statement from the Prelude's tow driver indicating that vehicle and the Camry were at the intersection on the accident date and towed.³ The collision reports both drivers made at the CRC together with the photographs of the front end damage to the 1993 Prelude and the crumpled bumper and trunk of his 1990 Camry are consistent with the collision reported by both drivers.

This reliable documentary evidence supports the testimony of Mr. Elaiathamby and Mr. Kathirgamu. The discrepancy between these witnesses' estimates of travel time to the scene from the main street turn-off is relatively inconsequential. I find that the evidence of Mr. Elaiathamby and Mr. Kathirgamu is reliable, and based on their evidence and the documents, he has provided *prima facie* evidence the collision occurred.⁴

The evidence inferring that the accident occurred changes the burden of proof in this civil action.

³I rely on the tow driver's written statement over his hearsay statement related by State Farm's adjuster.

⁴Sopinka, Lederman, Bryant, *The Law of Evidence In Canada*, pgs. 67-71 (2nd ed., 1999)

In a motor vehicle negligence action, the facts supporting the plaintiff's and the defendant's allegations are often intertwined. Nonetheless, each party bears the evidential and legal burdens in relation to their respective versions of the facts.⁵[My Emphasis]

Thus, State Farm bears onus to establish its allegation the event was not an accident.

State Farm's adjuster conceded the Company chiefly relies on its expert evidence to contradict Mr. Elaiathamby's claim he and his passenger were in his car at the accident scene, struck from behind by the Prelude, and pushed across the intersection.

The Experts' Evidence:

State Farm's engineering expert, specialized in reconstructing automobile accidents, gave his opinion that the vehicles' physical damages could not have resulted from the collision described by Mr. Elaiathamby. Mr. Gordon Jenish examined the vehicles about three weeks after the accident while they were stored at salvage yards.

Mr. Elaiathamby's Camry had a crumpled rear bumper/quarter panels, broken tail lights, slightly shifted rear axle and popped trunk lid together with the scrapes and a blue paint transfer on the bumper that appeared the same colour as the Prelude. The Prelude's after-market bumper/grill/front headlights were broken, and there was minor front fender damage as well as slightly bent hood lip.

Mr. Jenish pointed out that the Prelude's damage width, of 156 cm from center point was larger than the Camry's 140 cm damage area. He noticed that the height of the Prelude's front end damage, of 23-63 cm from ground level, did not correspond with the Camry because there was no body area below 37 cm from ground level except the exhaust pipe. The small bent lip on the Prelude's hood did not correspond to any contact area on the Camry bumper.

⁵*Ibid.*, at pg. 71 – 72

Mr. Jenish testified that an under-ride collision between the higher Camry bumper and front end of the Prelude would have caused more significant damage to the Prelude's hood and front end as well. His inspection of the Prelude did not show compression of its front bumper shocks, radiator damage or rearward displacement in the engine compartment.

Mr. Jenish's evidence is that while the Camry's damage indicates it was hit at 26-38 km/hr., the Prelude's damage is consistent with a 10-12 km/hr. impact. On the one hand, he admits that the Prelude airbag deployment indicates it was struck at more than 20 km/hr., and on the other hand that the lack of front-end damage is not consistent with the 40-46 km/hr. that its driver reported to the CRC or with the 25 km/hr. opinion of Mr. Elaiathamby's engineering expert.

Mr. Jenish's speeds and damage analysis rests primarily on the comparative lack of damage to the Prelude's front end. He measured the crush depth of each car, and then applied that amount to established crash test data for the particular make, year and model to determine the speed necessary to produce the damage to each vehicle.

Mr. Jenish's report shows he used the stiffness factor for a Camry rear-end, but admitted during cross-examination that his notes show he used the figure for the front-end. He admitted the front end of a vehicle is much stiffer than the rear end due to the engine and the strength of its supporting structures.

Mr. Jenish explained that the rear end data for that year Camry was unavailable. Further questioning revealed that he had increased a Corolla's rear end statistic to equate to the Camry's heavier build. Mr. Jenish's failure to disclose this fact in his report and to show how he modified the Camry's stiffness seriously detracts from my confidence in his opinion.

Mr. Jenish stated he did not send a sample of the blue paint scrape on the Camry bumper for laboratory analysis to determine if it was the same as the Prelude. He did not explain why he believed the paint sample was too small to yield definitive results.

However, Mr. Jenish admitted the paint scrape appeared to be the same peculiar blue as the Prelude's colour, and that the transfer area on the Camry matched where the blue paint was scraped off the Prelude. His further admission that the paint likely comes from the Prelude underscores his concession the two cars could have come together. Based on this evidence, I find that the paint transfer on the Camry bumper derives from its contact with the front-end of the Prelude.

Mr. Elaiathamby's engineering expert, Mr. Scott Walters, based his opinion on review of the vehicle photographs. His report states the Camry bumper indentations and downward motion show an under-ride collision that would be produced with the same pattern and level as the Prelude front end. Based on the photographs showing broken/pushed in headlamps and the deformed lip on the leading edge of the Prelude hood, he estimates the collision caused a 7.6 cm rearward motion of the Prelude's front end.

The first problem with Mr. Walter's opinion is his assumption that the Prelude's bumper shocks were compressed from the accident. The photographs of that area do not show the bumper shocks were compressed, and Mr. Jenish's first-hand vehicle inspection of the Prelude does not support that fact either.

Secondly, Mr. Walters' finding that the vehicle damage widths matched is based on the assumption the Camry's blue paint transfer is outside the area Mr. Jenish measured. His increase to the Camry's damage width to match the wider Prelude front-end is contra-indicated by the photographs clearly showing the paint transfer within the area Mr. Jenish measured. Mr. Walters did not testify to explain his locating the paint transfer or defend his determination the Prelude bumper shocks were compressed.

Analysis:

Mr. Walters' evidence inaccurately assumed the Camry suffered wider damage, and that the Prelude's bumper shocks were compressed. Mr. Jenish's opinion is tainted by his failure to disclose using modified data for the Camry's rear-end and not sending the available paint sample for laboratory analysis. Mr. Jenish's admission the cars could well have collided explicitly contradicts his written opinion the accident did not happen.

I conclude that both parties' experts did not properly examine important physical evidence or their opinions are contradicted by the physical evidence. Consequently, I am not confident in their opinions, and do not rely on the opinions of Mr. Jenish or Mr. Walters.

Without reliable expert evidence, I am curious, but unable to determine why the physical force of the impact did not compress the Prelude's bumper shocks or how that car was able to escape with less front-end physical damage than a layperson would normally expect.

However, many other undisputed physical facts point to a collision between the vehicles that is consistent with the drivers' reports. The Prelude's airbag deployment indicates it hit something at greater than 20 km/hr. The indentation on the Camry's bumper and its downward angle appear to reasonably correspond with the configuration and lower level of the Prelude's front end.

The crush damage on the Camry's rear end shows it was hit by an object at more than 20 km/hr. Add to this mix that it is not contradicted the parties had their vehicles towed to the CRC from the intersection near where the accident was reported to take place, made reports at the CRC containing a great deal of consistent information, and that no one in this scenario has ever been involved in criminal activity or fraudulent accident claims.

On balance, State Farm has not produced credible expert opinion or other reliable evidence to rebut the *prima facie* evidence Mr. Elaiathamby was involved in the accident. Thus, I find that Mr. Elaiathamby was involved in an automobile accident on January 15, 2006.

SPECIAL AWARD

Mr. Elaiathamby argues that State Farm's refusal to discount Mr. Jenish's engineering report on the basis of conflicting evidence reflects its unyielding intransigent attitude towards adjusting his claim. He maintains this led to State Farm's unreasonable denial of his entitlement to accident benefits, and that he is therefore entitled to a special award under subsection 282(10) of the *Insurance Act*.

Mr. Andrew Rosen, the principal claims adjuster, testified he had conflicting evidence about the vehicle tows during the early investigation of the claim. Mr. Elaiathamby's tow company told him by telephone that it had no record of the dispatch or tow receipt, and Mr. Rosen heard from the other tow driver that the Prelude was the only car at the scene.

Mr. Elaiathamby maintains State Farm should have re-examined its denial of the accident after receiving new information during the fall of 2007. Mr. Rosen admitted he did not check the numbers in Mr. Elaiathamby's telephone report that September to determine if they linked to his car tow, and the Company only agreed on this point at the hearing upon review of definitive summonsed records.

Mr. Elaiathamby adds that State Farm breached its duty to fairly adjust his claim by considering the drivers' and passengers' common race and ethnicity as suspicious.⁶ He maintains that the Company's use of race and ethnicity in adjusting practice violates the Ontario *Human Rights Code* prohibition against racial or ethnic discrimination in services and contracts.⁷

State Farm put forward no evidence or rationale justifying its use of common race or ethnicity as a suspicious factor. Mr. Rosen accused both Mr. Elaiathamby and his passenger of lying and attempting to commit insurance fraud, without introducing evidence of similar past or current conduct. His admission that he considered common race and ethnicity suspicious during the initial investigation couples with his evidence State Farm would not accept the legitimacy of the accident absent a videotape of the actual incident.

State Farm's imposition of this extremely high burden of proof together with the unsubstantiated accusations and explicit racial consideration persuades me the adjustment of Mr. Elaiathamby's claim has been tainted by brazen discrimination since inception. These practices must not be condoned, and may be subject to further investigation, condemnation or penalty by other authorities.

⁶*Insurance Corporation of British Columbia v. Suska et.al* [2008] B.C.J. No. 1695, *Morrison v. HSBC Bank of Canada* [2007] F.C.J. No. 1581

⁷Sections 1, 3 of R.S.O. 1990, c. H.19, s. 15 *Canadian Charter of Rights and Freedoms*

While human rights violations must, in my view, be given serious consideration in relationship to claims for special awards, violations of the *Human Rights Code* are not alone compensable within the context of the *Insurance Act*.⁸ It is not a generalized inquiry into an insurer's conduct⁹, where there must be a linkage between the insurer's consideration of the violating factors and the unreasonable delay or denial.¹⁰ My opinion is that the violation must be a significant contributing factor to the insurer's decision-making.

Here State Farm's evidence is quite unequivocal and unrefuted, that it has relied on its expert's opinion that the vehicle damages did not match almost immediately after the initial investigation of Mr. Elaiathamby's claim. I accept that ethnic or racial considerations added to State Farm's overall prejudice against Mr. Elaiathamby, but find the prejudicial flavour was not significant. I find that State Farm principally and reasonably relied on its expert's opinion, and therefore that Mr. Elaiathamby is not entitled to a special award under subsection 282(10) of the *Insurance Act*.

EXPENSES:

I am disposed to grant Mr. Elaiathamby his expenses of the arbitration considering his success, in accordance with the criteria in Rule 75 of the *Dispute Resolution Practice Code* and section 282(11) of the *Insurance Act*. The parties should contact the Case Administrator to arrange an assessment hearing if there are other factors I must consider in determining entitlement or they cannot agree on the amount.

Fred Sampliner
Arbitrator

October 21, 2008
Date

⁸*Tranchemontagne v. Ontario (ODSP)*, [2006] 1 S.C.R. 513

⁹*Leitgeb et. al. and Allstate Insurance Company of Canada* (FSCO No. P-012407, November 16, 1995)

¹⁰*Morrison v. HSBC Bank of Canada*, *supra*.



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BETWEEN:

SANMUGANATHAN ELAIATHAMBY

Applicant

and

**STATE FARM MUTUAL AUTOMOBILE
INSURANCE COMPANY**

Insurer

ARBITRATION ORDER

Under section 282 of the *Insurance Act*, R.S.O. 1990, c.I.8, as amended, it is ordered that:

1. State Farm shall pay Mr. Elaiathamby accident benefits under the *Schedule*, and his expenses of the Arbitration under subsection 282(11) of the *Insurance Act*, in accordance with the parties' attached agreement, marked as Exhibit 9, dated January 15, 2008.
2. Mr. Elaiathamby's claim for a special award under section 282(10) of the *Insurance Act* is dismissed.

Fred Sampliner
Arbitrator

October 21, 2008
Date